HANGS Construction · October 2026 Job Cost and WIP Schedule

HANGS Construction Services LLC · Contract jobs at October 31, 2026 · Prepared November 9, 2026 (business day 6). DRAFT memo from the Accounting Machine. Unsigned. Invented demonstration data. A person reviews and decides every entry; the machine never posts one.

Five contract jobs, $3,164,450.00 of signed contract value, are $2,420,133.87 earned against $2,376,500.00 billed. Underbillings are $87,640.34 and overbillings $44,006.47; 1250 and 2250 move to those figures through 4150, a $96,148.00 debit. One job is now a loss contract and $5,791.42 more is accrued to 2260. October contract revenue is $253,592.00 against $330,190.00 of cost, a gross loss of $82,389.42 after the provision. 4 exceptions need a person. Nothing has been posted.

WIP Schedule, October 31, 2026

Job	Contract	Cost to Date	Est. Total Cost	Est. GP	Complete	Earned	Billed	Over (Under)	Fade (Gain)
S-2593 Calder Street Lofts, Lobby and Corridor Refresh	$183,600.00	$161,940.00	$161,940.00	$21,660.00	100.00%	$183,600.00	$183,600.00	$0.00	-$1,560.00
S-2601 Bellhaven Branch Library Renovation	$1,294,550.00	$929,250.00	$1,150,750.00	$143,800.00	80.75%	$1,045,370.92	$964,300.00	-$81,070.92	-$14,550.00
S-2604 Marlowe Ridge Dental Tenant Improvement	$386,500.00	$283,400.00	$343,400.00	$43,100.00	82.53%	$318,969.42	$312,400.00	-$6,569.42	$3,400.00
S-2607 Ridgecrest Veterinary Exam Room Expansion	$214,800.00	$139,350.00	$211,350.00	$3,450.00	65.93%	$133,402.11 *	$147,200.00	$13,797.89	$21,350.00
S-2610 Flex Industrial Building, Larch Hollow Site 3	$1,085,000.00	$751,150.00	$1,103,150.00	-$18,150.00	68.09%	$738,791.42	$769,000.00	$30,208.58	$133,150.00
Total	**$3,164,450.00**	**$2,265,090.00**	**$2,970,590.00**	**$193,860.00**		**$2,420,133.87**	**$2,376,500.00**	**-$43,633.87**	**$141,790.00**

* Held under WIP-4: the estimate was not revised for October, so earned revenue stays at September 30's figure.

Proposed Entries

Entry	Account	Job	Debit	Credit	Support
AJ-01	5100 Contract Costs	S-2610 / 06-100	$18,750.00		Invoice SFC-1184; job cost ledger, October detail; budgets
	5100 Contract Costs	S-2601 / 06-100		$18,750.00	
AJ-02	5150 Provision for Contract Losses	S-2610	$5,791.42		WIP schedule; estimates to complete; Contract Revenue Procedures WIP-5
	2260 Accrued Losses on Contracts	S-2610		$5,791.42	
AJ-03	4150 Contract Revenue, Over/Under Billing Adjustment		$96,148.00		WIP schedule, October 31; contracts GL; Contract Revenue Procedures WIP-6
	1250 Costs and Estimated Earnings in Excess of Billings			$52,141.53	

2250 Billings in Excess of Costs and Estimated Earnings	$44,006.47

Book Before Close

Cost Coded to the Wrong Job · job S-2601 · SC-2622 · $18,750.00

> *WIP-3 Job Cost (Contract Revenue Procedures page 2): “Cost to date is the job cost ledger through month-end. Every cost posts to a cost code in that job's budget. A cost on a code with no budget on that job is traced to its source document and moved to the job the document names.”*

Job S-2601 (Bellhaven Branch Library Renovation) has no budget for cost code 06-100 Rough Framing, so the line was traced to its invoice. SFC-1184 reads "Larch Hollow Site 3 flex building" and "HANGS job S-2610, cost code 06-100", total $18,750.00, stamped as entered in job cost as SC-2622. AJ-01 moves it to job S-2610 (Flex Industrial Building, Larch Hollow Site 3). Left where it is, job S-2601 looks $18,750.00 further along than it is and job S-2610 looks $18,750.00 more profitable. Total cost in GL 5100 does not change.

Proposed entry AJ-01, not posted: Move SC-2622, Sumner Framing Co invoice SFC-1184, from job S-2601 to job S-2610, cost code 06-100.

Loss Contract, Full Provision · job S-2610 · $5,791.42

> *WIP-5 Loss Contracts (Contract Revenue Procedures page 3): “When estimated total cost exceeds contract value, the entire estimated loss is recognized in the month it becomes known. The part of the loss not yet in recognized gross profit is accrued to 2260 Accrued Losses on Contracts.”*

Flex Industrial Building, Larch Hollow Site 3's estimate rose from $970,000.00 to $1,103,150.00 (rock excavation and a retaining wall at the access drive cut, not in the bid). Estimated gross profit fades $133,150.00, from $115,000.00 to a loss of $18,150.00. Under WIP-5 the whole loss is recognized now. At 68.09% complete, earned revenue is $738,791.42 against $751,150.00 of cost, a loss of $12,358.58 in recognized gross profit; AJ-02 accrues the other $5,791.42 to 2260 so the job carries the full $18,150.00. Before AJ-01 moved $18,750.00 of framing onto this job, it showed $600.00 of profit and no loss at all.

Proposed entry AJ-02, not posted: Accrue the rest of job S-2610's estimated loss, $18,150.00 in all (WIP-5).

Corrected in the Schedule

Unsigned Change Order in Contract Value · job S-2604 · CO-01 · $4,200.00

> *WIP-2 Contract Value and Change Orders (Contract Revenue Procedures page 1): “Contract value is the original contract plus change orders signed by the owner. A change order that is pending, submitted or verbally agreed is excluded until the owner signs it; the costs of that work stay in cost to date and the estimate to complete.”*

The contract register carries $390,700.00 for Marlowe Ridge Dental Tenant Improvement: the original $386,500.00 and CO-01 for $4,200.00. CO-01, submitted October 20, shows "Owner approval: NOT SIGNED" and "Pending owner signature". Under WIP-2 contract value is $386,500.00; the work's cost stays in the estimate. Including it would have recognized more revenue on this job than the signed contract supports. The schedule uses $386,500.00; ask the owner to sign CO-01 and it enters contract value that month.

Proposed entry AJ-03, not posted: Adjust 1250 underbillings and 2250 overbillings to the October 31 WIP schedule (WIP-6).

Follow-up: Get Marlowe Ridge Dental PLLC's signature on CO-01, or withdraw it (Elena Brooks). Status: Open.

Held for the PM

Estimate to Complete Not Updated · job S-2607 · $21,350.00

> *WIP-4 Estimates to Complete (Contract Revenue Procedures page 2): “Each project manager revises the estimate to complete for every cost code after the month's costs are in, and dates the revision. An estimate not revised for the month is not used to recognize revenue until the project manager confirms it.”*

Ridgecrest Veterinary Exam Room Expansion took $21,350.00 of cost in October, but every cost code's estimate to complete at October 31 equals its September 30 figure; the revision is dated September 22 with the note "Rolled forward". Carried as is, estimated total cost rises by exactly October's cost, from $190,000.00 to $211,350.00, and estimated gross profit fades $21,350.00. That is the mark of an estimate not revised, not a measured fade. Under WIP-4 the schedule recognizes no October revenue on this job until Sam Whitaker revises it: earned revenue stays at September's $133,402.11. On the carried estimate it would be $141,624.70, another $8,222.59.

Proposed entry AJ-03, not posted: Adjust 1250 underbillings and 2250 overbillings to the October 31 WIP schedule (WIP-6).
Follow-up: Revise job S-2607's estimate to complete for October and date it (Sam Whitaker). Status: Open.

Ties to the Receivables Ledger and the General Ledger

Billed to date on every job is the receivables ledger's, pay application for pay application, and October's invoices, INV-3398 $13,600.00, INV-3419 $142,600.00, INV-3401 $64,800.00, INV-3412 $26,740.00, INV-3405 $102,000.00, total $349,740.00, GL 4100's October activity. October job cost, $330,190.00, equals GL 5100's. The September WIP balances in 1250 and 2250 are unchanged in the ledger until this entry. Two receivables items touch these jobs and are not yet in billings: S-2601's signed CO-03 is in contract value here but not yet billed, and the CR-07 credit agreed with Ridgecrest Veterinary on October 12 will reduce S-2607's billings when it is issued.

Open Items and Sign-Off

Every entry above stays proposed until a person accepts it or changes it with a reason. Entries are posted only after the Controller reviews the WIP schedule, the entries and the exceptions (WIP-7), by the person who posts journal entries. Nothing has been posted. This memo is not a sign-off.

Prepared by: Accounting Machine (draft, unsigned)
Reviewed and approved by: _____ Controller · Date: _____